Street, made his money, but rather than pumping and dumping alt coins he used penny stocks, which can be thought of as alternative stocks from smaller, riskier, sometimes fake companies.)

Does cryptocurrency have a place in an investor’s portfolio? An aggressive or growth investor may consider keeping cryptocurrency in their wallets, but investors in training must be wary of alternative cryptocurrencies and do thorough unbiased research on the creation of the cryptocurrency and its real-world usefulness.

A good rule of thumb is if you try to explain its use to a friend or family member and they don’t really get it, it may not actually be all that useful.

NFTs

It’s always easier explaining why something exists based off the problem it solves, so let’s take that approach to NFTs.

It’s very difficult to prove you own something digital, whether that be a piece of artwork, a video or even a tweet; it’s easy for people to create counterfeits. It’s very difficult to authenticate an item.

This is where NFTs come in. Short for nonfungible tokens, they are online tokens, like cryptocurrencies, that work using the blockchain. The similarities, however, stop there. Cryptocurrencies are fungible tokens, which means their value is the same. One Bitcoin in your pocket is worth the same as one Bitcoin in my pocket, in the same way that US$1 in your hand is worth the same as US$1 in my hand.

With nonfungible tokens, the value of one token is not the same as the value of another token. Each coin is unique and can’t be replaced with something else. It’s like a one-of-a-kind trading card.

The value of an NFT lies in the media attached to them. The most common NFTs are attached to art or music, but there is the potential to tokenise any real-world asset.

NFTs are a part of the Ethereum blockchain. It’s like a digital fingerprint on an original item, and every time the ownership of that item gets transferred